# Three Mistakes Families Make When Mom's Finances Have to Be Sorted Out All at Once

What each one looks like, why it happens, and the habit that helps.

Mom's finances were never organized for someone else to read, because they never needed to be. When they suddenly matter, most families slip into the same three habits. None of them is anyone's fault, and all three have the same fix.

## 1 Hunting for everything at once

**WHAT IT LOOKS LIKE** Every drawer in Mom's house is open. One of you is on hold with the bank, another is going through old tax folders, and by Sunday night there are four piles on the dining room table and no list.

**WHY IT HAPPENS** The information is suddenly needed and none of it was ever filed for someone else to find. AARP notes that a parent's bills, receipts, tax returns, statements and benefit letters may be in random order or stored in different, perhaps forgotten, places. [1]

> **WHAT TO DO INSTEAD** Start with one list and one folder. Write down what you already know of, put the paper you've found behind it, like with like, and mark the rest "not found yet." Then ask your Medicaid planner which of the missing records matter before you spend a week searching for them. [1]

## 2 Working from memory

**WHAT IT LOOKS LIKE** "She has the checking account, some CDs and Dad's pension." Your brother thinks there's a life insurance policy. Nobody has seen a statement for any of it in a long while.

**WHY IT HAPPENS** Memory is what you have when the paper hasn't turned up, and each of you remembers a different part. The Consumer Financial Protection Bureau's guide for people managing a relative's money puts the need plainly: to make careful decisions, you need to know what the person owns and owes. [2]

> **WHAT TO DO INSTEAD** Beside every item, write where it came from: a statement, a letter or someone's memory, with the date. An item from memory stays on the list, marked "not confirmed," until the paper turns up. And ask Mom, if she's able. The Bureau says that even if it feels awkward, it is important to have an honest conversation about finances. [3]

## 3 Guessing how long the money may last

**WHAT IT LOOKS LIKE** Someone divides the savings balance by the monthly bill on the back of an envelope and announces a number. Someone else says it will be fine for years. Neither of you has seen all the statements.

**WHY IT HAPPENS** A bill has arrived and you want an answer the same day. You're in ordinary company: Medicare.gov says most people who enter nursing homes start by paying for their care out of pocket. But a quick sum uses one balance and one bill, and leaves out the rest of the picture. [4]

> **WHAT TO DO INSTEAD** Write down the two things you can know today: what care is costing each month, from the bill, and what comes in each month, from the statements and benefit letters. Mark every estimate as an estimate. Bring both to your Medicaid planner, and leave the question of how long for that conversation.

**The one habit behind all three**

Write down what you know, where it came from and the date. Leave the totals, the estimates and what it all means for the conversation with a professional.

**What this guide doesn't do**

It doesn't tell you what Mom has, how long it may last or what to do with any of it, and it isn't legal, financial or tax advice. It names three habits, which are the same three the Medicaid Planning Roadmap sees at this step.

## Ready for the next step?

You know which guesses to stop relying on, and what to write down instead. The planning interview builds on what you've written: it asks about your family's situation and gives you a free planning report you can bring to any conversation about paying for care.

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### WHERE THIS COMES FROM

The observations about scattered records, about knowing what a person owns and owes, about an honest conversation and about paying out of pocket come from the sources below. The three mistakes are the Medicaid Planning Roadmap's own.


1. AARP, 5 Steps to Organize Your Loved One's Financial Records
2. Consumer Financial Protection Bureau, Managing someone else's money: Help for agents under a power of attorney
3. Consumer Financial Protection Bureau, Planning for diminished capacity and illness
4. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?